

4E1302

Roll No. _

Total No. of Pages: **4****4E1302****B. Tech. IV - Sem. (Main / Back) Exam., - 2025****Aeronautical Engineering****4AN1-03 Managerial Economics & Financial Accounting****All Branches****Time: 3 Hours****Maximum Marks: 70***Instructions to Candidates:**Attempt all ten questions from Part A, five questions out of seven questions from Part B and three questions out of five questions from Part C.**Schematic diagrams must be shown wherever necessary. Any data missing may suitably be assumed and stated clearly. Units of quantities used/ calculated must be stated clearly.**Use of following supporting material is permitted during examination. (Mentioned in form No. 205)*1. NIL2. NIL**PART - A****[10×2=20]****(Answer should be given up to 25 words only)****All questions are compulsory**

- Q.1 Define Managerial Economics. [2]
Q.2 What do you mean by Opportunity Cost? [2]
Q.3 Distinguish between demand curve and demand schedule. [2]
Q.4 What are Giffen goods? [2]
Q.5 What is GDP? [2]
Q.6 Define Monopoly. [2]
Q.7 What is ISOQUANTS? [2]

- Q.8 Define Elasticity. [2]
- Q.9 What is Pay-back Period? [2]
- Q.10 What is Profitability Ratio? [2]

PART – B

[5×4=20]

(Analytical/Problem solving questions)

Attempt any five questions

- Q.1 Explain 'Law of Returns to Scale'. [4]
- Q.2 What are the determinants of demand? [4]
- Q.3 What is Oligopoly? What are its features? [4]
- Q.4 Explain the degrees of Price Elasticity of Demand. [4]
- Q.5 Write a short note on Cash Flow Analysis. [4]
- Q.6 Distinguish between Explicit and Implicit costs? [4]
- Q.7 Given TFC as Rs. 40, find values of TVC, AC, AFC, and MC based on the given table - [4]

Q	0	1	2	3	4	5	6	7
TC	40	52	59	64	70	78	89	103

PART – C

[3×10=30]

(Descriptive/Analytical/Problem Solving/Design Questions)

Attempt any three questions

- Q.1 What is Elasticity of Demand? And explain its types and measurement. [10]
- Q.2 Explain the price output determination under Perfect competition. [10]
- Q.3 Using suitable diagrams, explain the Law of Variable Proportions. [10]

Q.4 Write a short note on -

[5×2=10]

- (i) Marginal Cost
- (ii) Net Present Value Method
- (iii) Proprietary Ratio
- (iv) Internal Rate of Return
- (v) Working Capital

Q.5 The Balance Sheet of Punjab Auto Limited as on 31-12-2002 was as follows -

[10]

Particular	Rs.	Particular	Rs.
Equity Share Capital	40,000	Plant & Machinery	24,000
Capital Reserve	8,000	Land & Building	40,000
8% Loan on Mortgage	32,000	Furniture & Fixtures	16,000
Creditors	16,000	Stock	12,000
Bank Overdraft	4,000	Debtors	12,000
Taxation :		Investments (short-term)	4,000
Current	4,000		
Future	4,000	Cash-in-hand	12,000
Profit & Loss A/c	12,000		
	1,20,000		1,20,000

From the above, compute (a) The Current Ratio, (b) Quick Ratio, (c) Debt-Equity Ratio, and (d) Proprietary Ratio.